

*Inflation is defined as a sustained increase in the general level of prices for goods and services. It is measured as an annual percentage increase. As inflation rises, every dollar you own buys a smaller percentage of a good or service.*

*The value of a dollar does not stay constant when there is inflation. The value of a dollar is observed in terms of purchasing power, which is the real, tangible goods that money can buy. When inflation goes up, there is a decline in the purchasing power of money. For example, if the inflation rate is 2% annually, then theoretically a 100 rs pack of gum will cost 102 rs in a year. After inflation, you can't buy the same goods it could beforehand.*

*There are several variations on inflation:*

*1) Deflation is when the general level of prices is falling. This is the opposite of inflation.*

*2) Hyperinflation is unusually rapid inflation. In extreme cases, this can lead to the breakdown of a nation's monetary system. One of the most notable examples of hyperinflation occurred in Germany in 1923, when prices rose 2,500% in one month!*

*Causes of Inflation*